



## Correspondent Lock Extension Policy

Flagstar allows for up to three lock extensions with a maximum of 90 days combined on a valid lock commitment. An expired lock commitment will be subject to a relock which may include additional fees.

### GENERAL INFORMATION

- Lock extensions are available on our website from 10 a.m. - Midnight Eastern Time, Monday - Friday. Last published pricing on Friday is effective through Midnight Eastern Time Sunday (Monday when Flagstar observed holiday).
- Relocking a loan is available on our website from 10 a.m. – Midnight Eastern Time, Monday – Friday. Last published pricing on Friday is effective through Midnight Eastern Time Sunday (Monday when Flagstar observed holiday).
- When the maximum number of lock extensions or relocks have been completed, additional requests will need to be completed by the Lock Desk.

### FEE-BASED EXTENSION SCHEDULE (EXCLUDES ADVANTAGE BANK STATEMENTS)

Fee-based extensions allow you the flexibility to extend a lock for 1-30 days from the current lock expiration date at a cost determined by the schedule below. Fee-based extensions offered are based on valid business day expiration dates. Fee-based extensions may be exercised at any point before the expiration of a lock provided the loan is in an active status. Extensions are limited to 3 extensions or 90 total days whichever comes first. After the extension limits have been met, a relock is required.

| EXTENSIONS PRIOR TO EXPIRATION |      |                 |               |
|--------------------------------|------|-----------------|---------------|
| Extension                      | Days | From            | Price Per Day |
| First Extension <sup>1</sup>   | 1-30 | Expiration Date | .010          |
| Second Extension               | 1-30 | Expiration Date | .015          |
| Third Extension                | 1-30 | Expiration Date | .020          |

1. Days 1-3 of first extension are considered a grace period and are at no cost, per day cost will begin at day 4.

### FEE-BASED EXTENSION SCHEDULE (ADVANTAGE BANK STATEMENTS)

Fee-based extensions allow you the flexibility to extend a lock for 5-30 days in increments of 5 from the current lock expiration date at a cost determined by the schedule below. Fee-based extensions offered are based on valid business day expiration dates. Fee-based extensions may be exercised at any point before the expiration of a lock provided the loan is in an active status. Extensions are limited to 2 extensions or 30 total days whichever comes first and may not exceed 60 days in total from initial lock date. After the lock and extension limits have been met, a relock is required.

| EXTENSIONS PRIOR TO EXPIRATION |                       |                 |               |
|--------------------------------|-----------------------|-----------------|---------------|
| Extension                      | Days                  | From            | Price Per Day |
| First Extension                | 5, 10, 15, 20, 25, 30 | Expiration Date | .030          |
| Second Extension               | 5, 10, 15, 20, 25, 30 | Expiration Date | .030          |

### FEE-BASED EXTENSION SCHEDULE (ADVANTAGE PLUS)

Fee-based extensions allow you the flexibility to extend a lock for 5-30 days (excluding 25) in increments of 5 from the current lock expiration date at a cost determined by the schedule below. Fee-based extensions offered are based on valid business day expiration dates. Fee-based extensions may be exercised at any point before the expiration of a lock provided the loan is in an active status. Extensions are limited to 2 extensions or



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30 total days whichever comes first and may not exceed 60 days in total from initial lock date. After the lock and extension limits have been met, a relock is required.

| EXTENSIONS PRIOR TO EXPIRATION |                   |                 |               |
|--------------------------------|-------------------|-----------------|---------------|
| Extension                      | Days              | From            | Price Per Day |
| First Extension                | 5, 10, 15, 20, 30 | Expiration Date | .015          |
| Second Extension               | 5, 10, 15, 20, 30 | Expiration Date | .015          |

### RELOCKING A LOAN

A relock is required when a lock commitment has expired or the maximum number or extensions has been reached. The relock will be calculated at the lesser of the expired lock price or current market price -.125. A relock may be committed up to the lesser of the initial lock period or 30 days.

If a lock has been expired for 30 days or more it is eligible for a new market lock without additional adjustment to pricing.

### RELOCKING A LOAN (ADVANTAGE PLUS)

A relock is required when a lock commitment has expired or the maximum number or extensions has been reached. The relock will be calculated at the lesser of the expired lock price or current market price. There is an additional -.300 applied to a relock. A relock may be committed for a lock period of 30 days.

If a lock has been expired for 45 days or more it is eligible for a new market lock without additional adjustment to pricing. A relock is also considered mandatory delivery that is subject to a .250 fee if not closed and delivered.

### CURE PERIOD & FUNDING EXTENSION FEE

Flagstar's on time delivery policy requires:

- The complete closed/salable package received by lock expiration.
- Loans that do not meet on-time delivery will be subject to worse case pricing.

Loans delivered on-time by lock expiration date but are incomplete will be given a cure period of 5 business days (not including weekends and Flagstar observed holidays) following the post-closing problem date or lock expiration date whichever is greater to resolve outstanding errors and omissions. Loans that do not have all errors and omissions resolved within this time frame but were delivered on-time will be subject to an extension fee calculated at 2 bps per diem from the later of lock expiration or post-closing problem date plus 5 business days. This extension fee will be applied to your loan as a Funding Extension fee. This is a separate fee and is not netted from the lock price. This fee will apply regardless of an improving or declining market position.

To ensure purchase of your loans at the existing price, make sure that you are working to deliver complete and accurate packages on time. Any loan with unresolved errors and omissions after 30 calendar days will be returned to the correspondent and a marketing fee assessed.

To effectively assist you in making corrections in a timely fashion, please refer to your company's *CAD E&O Report* on our website.



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The extension schedule above only affects loans delivered on or before expiration - loans delivered after expiration must be relocked with our Lock Desk at worse-case pricing. For more information on our correspondent delivery policy, see *Closing/Settlement Procedures*, [Doc. #4616](#).